ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 8

ECONOMIC AND MANAGEMENT SCIENCES

PRACTICE EXAM 1

MARKS: 100 **TIME: 2 hours**

Covers the Grade 8 year: the economy (government and its spheres, the national budget and taxes, the circular flow, standard of living, markets), financial literacy (accounting concepts, the accounting equation, source documents, the Cash Receipts and Cash Payments Journals) and entrepreneurship (economic sectors, forms of ownership, factors of production).

Written by Academic Central for practice, following the CAPS curriculum for Grade 8. It is not a Department of Basic Education examination paper.

INSTRUCTIONS AND INFORMATION

1. This question paper consists of FOUR sections: SECTION A (20), SECTION B: The economy (25), SECTION C: Financial literacy (35) and SECTION D: Entrepreneurship (20).
2. Answer ALL the questions.
3. Number your answers exactly as the questions are numbered.
4. Show ALL calculations. A non-programmable calculator may be used.
5. Use a ruler for journals and tables. Write neatly and legibly.

SECTION A

QUESTION 1: MULTIPLE CHOICE

Choose the correct answer. Write only the letter (A–D) next to the question number, e.g. 1.11 B.

1.1 The rate of value-added tax (VAT) in South Africa is …

A 10%. B 14%. C 15%. D 20%.

1.2 Which sphere of government is responsible for refuse removal?

A National B Provincial C Local D International

1.3 The income tax that an employer deducts from an employee's salary every month is called …

A VAT. B PAYE. C customs duty. D excise duty.

1.4 In the circular flow, households supply businesses with …

A goods and services. B factors of production such as labour.
C taxes. D social grants.

1.5 A business has assets of R50 000 and liabilities of R12 000. The owner's equity is …

A R62 000 B R50 000 C R38 000 D R12 000

1.6 A business receives cash for rent from a tenant. The source document is a …

A cheque counterfoil. B duplicate receipt.
C supplier's invoice. D deposit slip from the tenant.

1.7 All the money paid out of a business's bank account is recorded in the …

A Cash Receipts Journal. B Cash Payments Journal.
C general ledger only. D budget.

1.8 Mining belongs to the …

A primary sector. B secondary sector. C tertiary sector. D public sector.

1.9 A business owned by one person who has unlimited liability is a …

A sole trader. B partnership.
C private company. D public company.

1.10 The reward (remuneration) for capital as a factor of production is …

A wages. B rent. C interest. D profit.

(10)

QUESTION 2: TRUE OR FALSE

Write TRUE or FALSE next to the question number. If the statement is FALSE, write down the correct word(s) to replace the underlined word(s).

2.1 Income tax is a direct tax. (2)

2.2 The Minister of Finance presents the national budget in Parliament every year in June. (2)

2.3 A liability is something of value that a business owns. (2)

2.4 Making furniture from wood is part of the secondary sector. (2)

2.5 A partnership has only one owner. (2)

(10)

TOTAL SECTION A: [20]

SECTION B: THE ECONOMY

QUESTION 3

3.1 (a) Name the THREE spheres of government in South Africa. (b) Give ONE service provided by each sphere. (6)

3.2 The approximate shares of the main sources of government revenue are: personal income tax 38%, VAT 25%, company tax 18% and other taxes and income 19%.

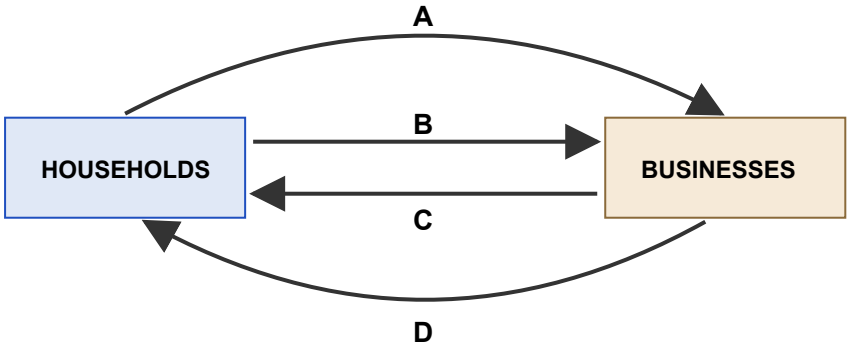
3.2.1 Which is the largest source of revenue? (1)

3.2.2 Explain the difference between a direct tax and an indirect tax. Give ONE example of each. (2)

3.2.3 Name TWO areas on which the government spends its revenue. (2)

3.2.4 What must the government do if it plans to spend more than it receives? What is this situation called? (2)

3.3 Study the diagram of the circular flow.



Arrows A and B go from households to businesses; arrows C and D go from businesses to households.

3.3.1 Arrow A shows what households supply to businesses in the factor market. What is it? (1)

3.3.2 Arrow D shows what businesses pay households in return for A. What is it? (1)

3.3.3 Arrow C shows a flow from businesses to households in the goods market. What is it? (1)

3.3.4 Arrow B shows what households pay businesses. What is it? (1)

3.3.5 Explain the role of the government in the circular flow. (2)

3.4 (a) What is meant by *standard of living*? (b) Give TWO things that can improve the standard of living of a community. (4)

3.5 Explain the difference between the goods market and the factor market. (2)

[25]

SECTION C: FINANCIAL LITERACY

QUESTION 4

4.1 Explain each concept: (a) asset; (b) liability; (c) owner's equity. (3)

4.2 Zola started Zola's Hair Salon. Copy the table and show the effect of each transaction on the accounting equation. Use + for an increase, − for a decrease and 0 for no effect. Show the amounts.

No.	Transaction	Assets	Owner's equity	Liabilities
(a)	Zola deposited R20 000 into the business bank account as capital.			
(b)	Bought equipment for R6 000 and paid by EFT.			
(c)	Received R1 500 in cash for hairdressing services.			
(d)	Paid R800 for electricity by EFT.			
(e)	Received a loan of R10 000 from Mzansi Bank.			

(10)

4.3 The transactions of Sipho's Spaza Shop for June 2026 are given below. Draw the Cash Receipts Journal (CRJ) and the Cash Payments Journal (CPJ), record the transactions and total the journals.

Day	Transaction
1	The owner, S. Dube, deposited R15 000 as capital. Issued receipt 01.
2	Paid Mega Wholesalers R6 500 for trading stock. EFT 001.
5	Cash sales, R2 400, according to the cash register roll (CRR).
8	Paid wages, R1 800. EFT 002.
12	Received rent from the tenant of a back room, R1 200. Issued receipt 02.
15	Bought stationery from Office World, R350. EFT 003.
20	Cash sales, R3 100, according to the cash register roll (CRR).
25	Paid the municipality for water and electricity, R620. EFT 004.

CRJ columns: Doc | Day | Details | Bank | Sales | Sundry accounts (Amount, Details).
CPJ columns: Doc | Day | Name of payee | Bank | Trading stock | Wages | Sundry accounts (Amount, Details).

(16)

4.4 Calculate the bank balance at the end of June. Is it favourable or unfavourable? (2)

4.5 Name the source document for: (a) cash sales; (b) a payment made by EFT. (2)

4.6 What is the purpose of the general ledger? (2)

[35]

SECTION D: ENTREPRENEURSHIP

QUESTION 5

5.1 Classify each business activity into the primary, secondary or tertiary sector: (a) fishing; (b) baking bread; (c) banking; (d) assembling cars. (4)

5.2 (a) Give TWO advantages of a partnership. (b) Give ONE disadvantage of being a sole trader. (c) Explain what is meant by *unlimited liability*. (5)

5.3 Three friends want to open a bakery together.

5.3.1 Recommend a suitable form of ownership and give a reason. (2)

5.3.2 Copy and complete: name the FOUR factors of production and the remuneration (reward) for each. (4)

5.4 Name TWO functions (departments) of a business. (2)

5.5 Why are small businesses important for the South African economy? (2)

5.6 What do the letters "(Pty) Ltd" after a business's name tell you? (1)

[20]

TOTAL: 100

END OF QUESTION PAPER